Deciding How To Transfer Your Estate

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Key Takeaways

- Assets can be distributed during your lifetime, not only after death
- A will ensures the right person gets the right amount, at the right time
- CPF nominations and right of survivorship take precedence over a will

There are many ways to transfer your assets. You can transfer now or

have it done for you upon death. Consider the pros and cons before making your decision.

- Transfer before death, such as gifts and living trusts
- Transfer upon death:
  - Through the probate process
  - Through other ways such as joint ownership and insurance nomination

Note: Remember, your CPF savings are not included in your estate. You should make a CPF nomination to distribute your CPF savings to your beneficiaries.

Transfer Before Death

During your lifetime, your assets (e.g. your savings, property and investments) can be transferred to anyone as gifts or through trusts.

▸ Gifts

Once the asset is unconditionally given away, you no longer hold the title to it, and the receiver becomes and the new owner.

▸ Trusts

Trusts may be set up for distribution. They are usually used to control and protect family assets, or when a beneficiary is too young or mentally incapable of handling money matters.

A trust transfers your assets to a trustee, with specific instructions on how you want the assets or income from the assets distributed.

Note: Recurring fees and expenses over time make trusts costly.

Transfer Upon Death

Whether you made a Will or not, your estate would be transferred through the **probate process.** If you don't leave a Will, your estate will be distributed to your beneficiaries according to the intestacy laws or Will substitutes.

Intestacy laws are inflexible and the settlement process is long. Wills and Will substitutes ensure that your estate is distributed more quickly, and according to your wishes.

Through Probate

▸ Writing a will

A written will lets the world know to whom you wish to leave your estate. If your beneficiaries are under 21, you'll need two executors or trustees to handle your estate on their behalf. You may also choose a guardian as minor children may be unable to manage their affairs.

▸ Testamentary Trusts

A testamentary trust can be made using a will. It takes effect after death and is irrevocable once it has taken place. However, you can change the contents of your will in your lifetime.

Other Ways To Transfer Your Assets

Joint ownership and insurance nominations are other ways to transfer

your assets quickly and inexpensively, outside the probate process.

▸ Right of survivorship for joint ownership

Under right of survivorship, jointly owned assets can be passed to the surviving owner outside the probate process.

There are different types of joint ownership:

Type of joint ownership	What it is
Joint-tenancy (for properties)	• When two account holders share the account equally, the surviving owner gets 100% of the property if one of them passes away • This is regardless of whether the deceased joint owner leaves a will
Tenancy-in-common (for properties)	• Each owner's share is separate and distinct • The probate process will apply
Joint accounts (e.g., bank accounts, CDP accounts)	• If either owner passes away, the balance in the joint account will pass to the surviving owner • The bank may freeze the joint account until the surviving owner presents the necessary documentation to the bank. Do check with your bank

Joint-alternate accounts	• Each account holder can perform transactions on the account independently, without needing the consent of the other account holders • Generally, if one account holder passes away, the surviving account holder can still operate the account independently. Do check with your bank on the terms and conditions for closure of such accounts

Note: A joint tenancy can be converted into a tenancy-in-common, and vice versa. Fees and charges will apply. Think about which arrangement works best for you.

▸ Insurance nomination

Under the Insurance Act, owners of life policies and accident and health insurance policies with death benefits are allowed to distribute the policy benefits to their nominees legally.

There are two kinds of nominations to consider:

- **A trust nomination** that takes precedence over a will
- **A revocable nomination** that gives the insurance company the right to pay out according to the last known document at the time of the policy owner's death, be it a revocable nomination or the will

Making a nomination is not compulsory. However, an insurance nomination provides you with an affordable legal means of distributing the policy benefits to your nominees.

If you didn't make an insurance nomination:

- Your insurance company may pay up to $150,000 of the proceeds to anyone who is a “proper claimant” under the Insurance Act
- Any remaining amount above $150,000 will be paid to the executor
- If you have made a will, the proceeds will be distributed according to the will
- If there is no will, the proceeds will be distributed under the Intestate Succession Act

Let's Make A Plan

Now that you've learned the various estate planning tools, it's time to get your estate in order. You may want to seek legal advice to make sure your will is valid. It can be altered at any time.

Your plan may be one or a combination of the following:

- Will
- Trust
- Nominations
- Gifts
- Right of Survivorship

When you pass away, your executor will apply to the court for a Grant of Probate. With a Grant of Probate, your assets will transfer to your executor, who will then manage and distribute the assets according to

your will.

When there is a will, your executor will liaise directly with the institutions involved in the transfer or distribution of the assets.

Note: Try My Legacy, a tool that helps you explore, store, and share your end-of-life plans.

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